Nation Media Group

Investor Briefing March 31, 2011

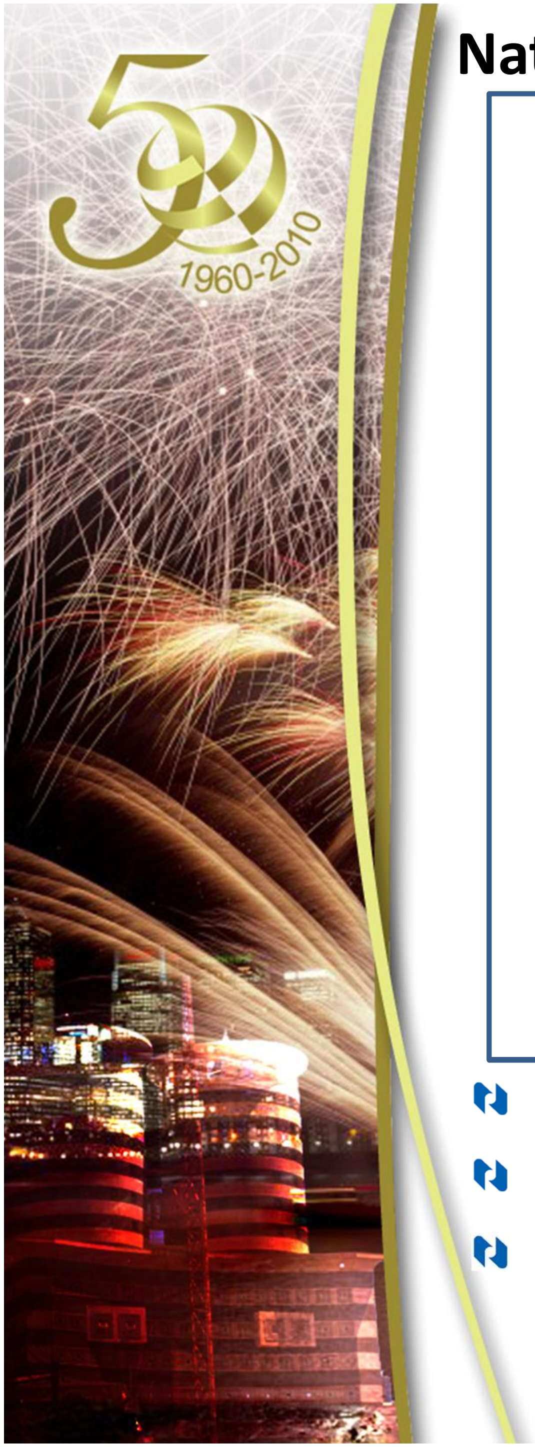
2010 Highlights

- Overall a good year
- Successful 50th Anniversary Celebrations
- New look Daily Nation in July; DN2
- Growth in market share across all platforms
- Turnaround of young businesses
- New TV channel in Kenya: eAfrica
- Increased radio and TV footprint: Q FM & NTV in Kisii
- Award-winning journalism on NTV: CNN Multichoice Awards
- Launched County Edition
- Newspapers In Education (NiE) launch in Kenya

2010 Highlights

- **Unrivalled referendum coverage in Kenya & Southern Sudan**
- **Nairobi Press: New colour tower**
- **Cross listing of NMG shares in Uganda, Rwanda & Tanzania**
- **The East African Rwanda Edition in December**
- **Company of The Year Award 2010 (COYA)**
  1. **NMG Company of the Year**
  2. **CEO of the Year**
  3. **Leadership & Management Award**


Divisional Updates



Nation Newspapers Division

Advertising Revenue	↑	20%
Circulation Revenue	↑	8%
Total Revenue	↑	15%
Direct Costs	↓	9%
Operating Profit	↑	28%

- Nation re-design, DN2 attracts higher readership
- Press Refurbishment – improved quality
- New colour tower – higher colour capacity

DAILY NATION

The East African

Advertising Revenue	↑	13%
Circulation Revenue	↑	11 %
Operating Profit	↑	10 %

- New Managing Editor
- Rwanda edition launched
- Environment Award: CNN Multichoice winner

The East African

Business Daily

Circulation Revenue	⬆	11%
Advertising Revenue	⬆	21%
Operating Profit	⬆	178%

- Maintained niche
- Online traffic grown: page views up 116% in 2010

BUSINESS DAILY

Easy FM

Revenue	14%
Operating Profit	65%

- Launch of new evening drive show with Angela Angwenyi & Edward Kwach
- easy fm upgraded: Expansion of music library, greater variety of R&B

easyfm
number one for blues and r&b

Q FM

Revenue	↑	176%
Operating Profit	↑	161%

- Phenomenal growth: Kenya’s fastest growing radio station
- Launch in Kisii

Kata Kiu

K FM Uganda

Ad Revenue	↑	29%
Operating Profit	↑	6%

- Remains the number one station in information and music – most preferred by the emerging middle class
- Introduced experiential activations

NTV Kenya

Revenue	↑	51%
Operating Profit	↑	131%

- CNN Multichoice Awards
- Referendum coverage in Kenya & Southern Sudan
- County Edition
- High Ratings, market share growth

ntv
turning on your world

NTV Uganda

Revenue	↑	34%
Operating Profit	↑	142%

- **No. 1 station nationwide – reach & viewership (Synovate 2010)**

Turning On Your World

Monitor Publications Ltd

Circulation Revenue	↑	4%
Direct Costs	↓	7%

DAILY MONITOR
TRUTH EVERY DAY

- New printing press: April 2011 launch
- People: New Executive Editor
- NiE – reach more than 250,000 students weekly
- Top 100 – held the 2nd successful medium sized company survey in Kampala
- Launched the only comprehensive online directory in Uganda *www.monitordirectory.co.ug*

Mwananchi Communications Ltd

Advertising Revenue	↑	23%
Circulation Revenue	↑	47%
Operating Profit	↑	124%

- New printing press: high quality product, increased market share
- Election coverage: MCL Most balanced, unbiased, independent media house – Media Council of Tanzania
- 10th year anniversary

MWANANCHI
LIMESHEHENI

The Citizen

Advertising Revenue	↑	32%
Circulation Revenue	↑	32%
Contribution	↑	21%

- Improved content, stronger design
- Increased pagination

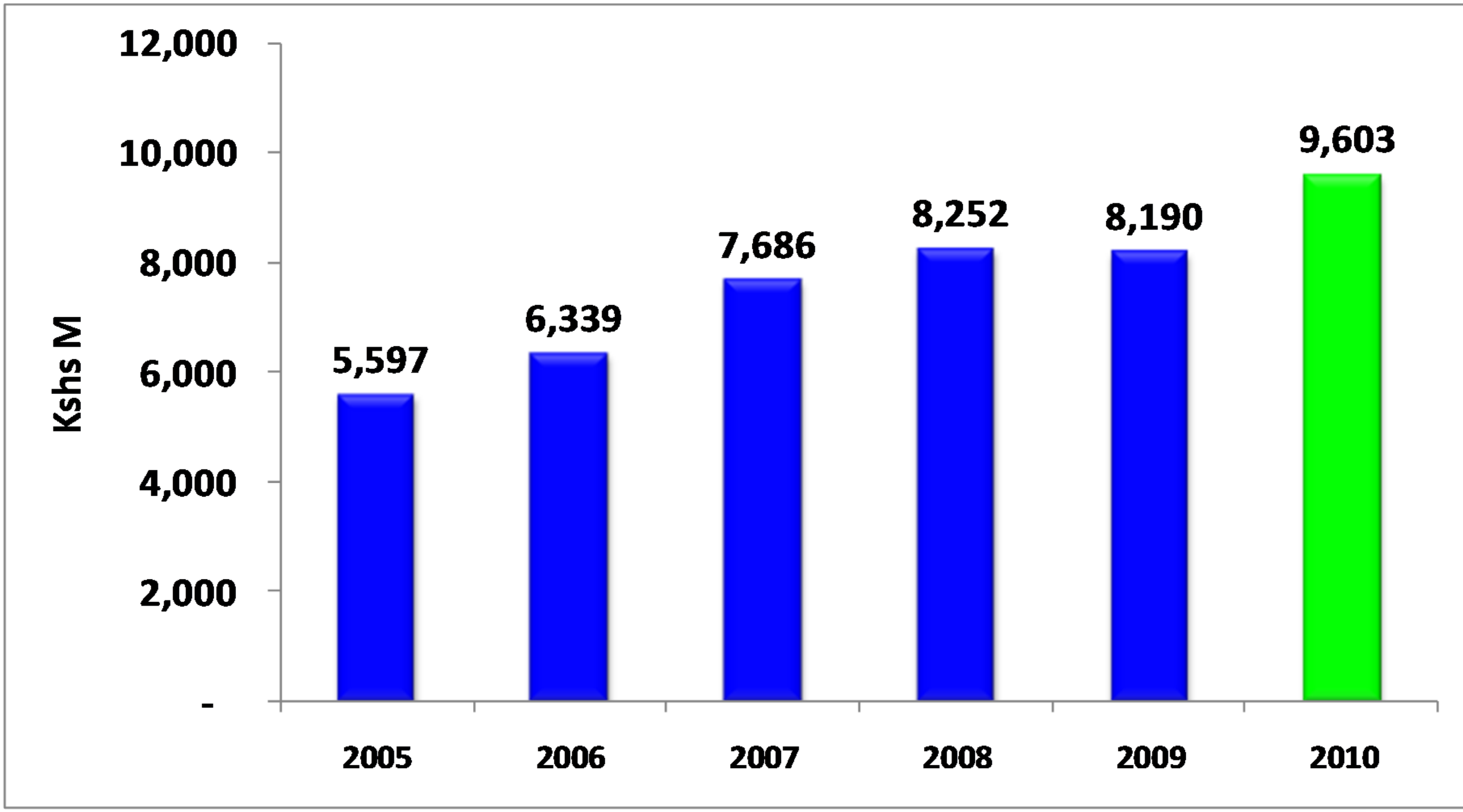
THE CITIZEN


2010 Financial Results

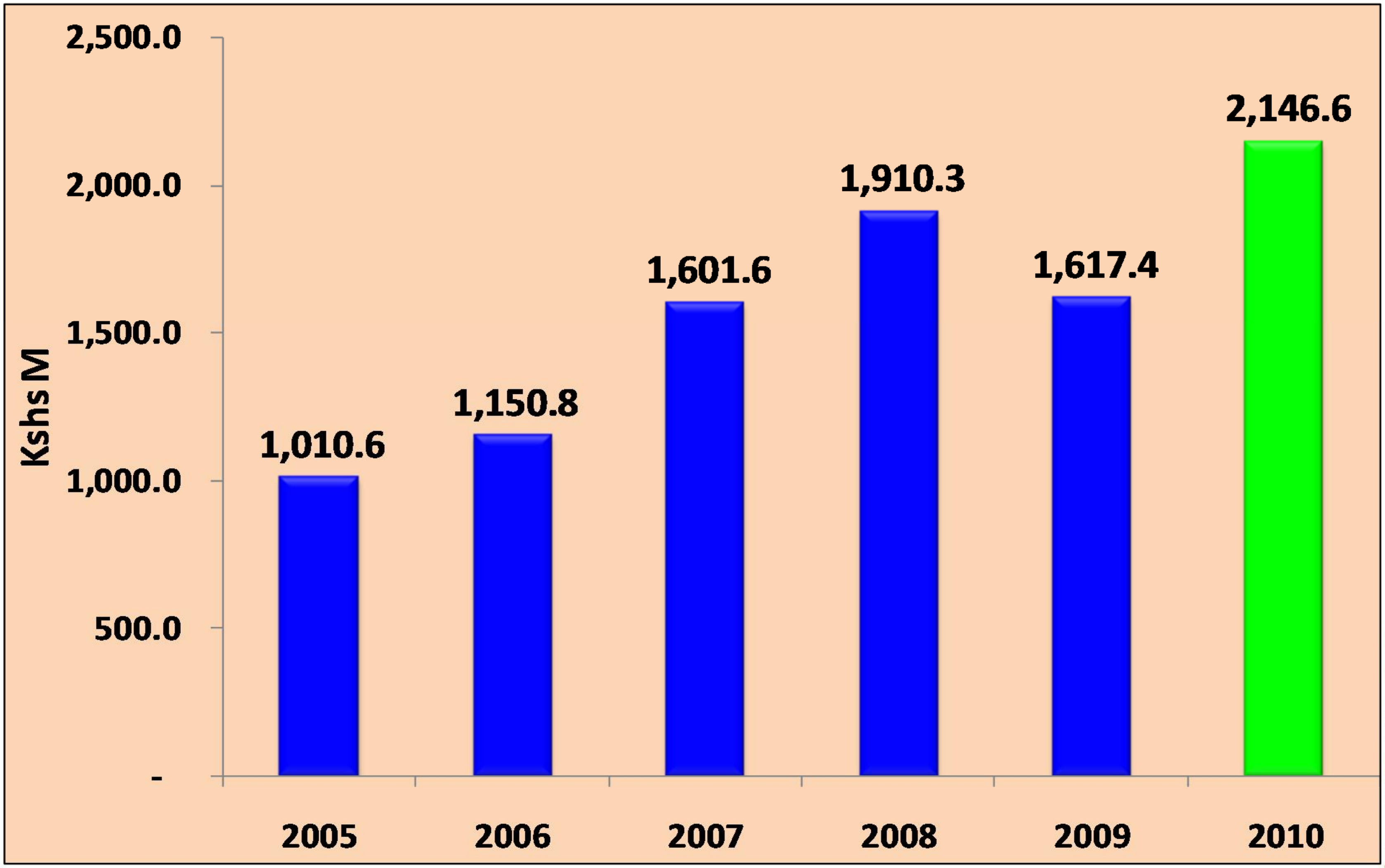
Consolidated Statement of Comprehensive Income (Kshs M)

	2009 Kshs M	2010 Kshs M	% change
Turnover	8,189.80	9,602.50	17.2
Profit before income tax	1,617.40	2,146.60	32.7
Income tax expense	(498.2)	(608.2)	(22.1)
Profit attributable to shareholders	1,103.20	1,519.80	37.8

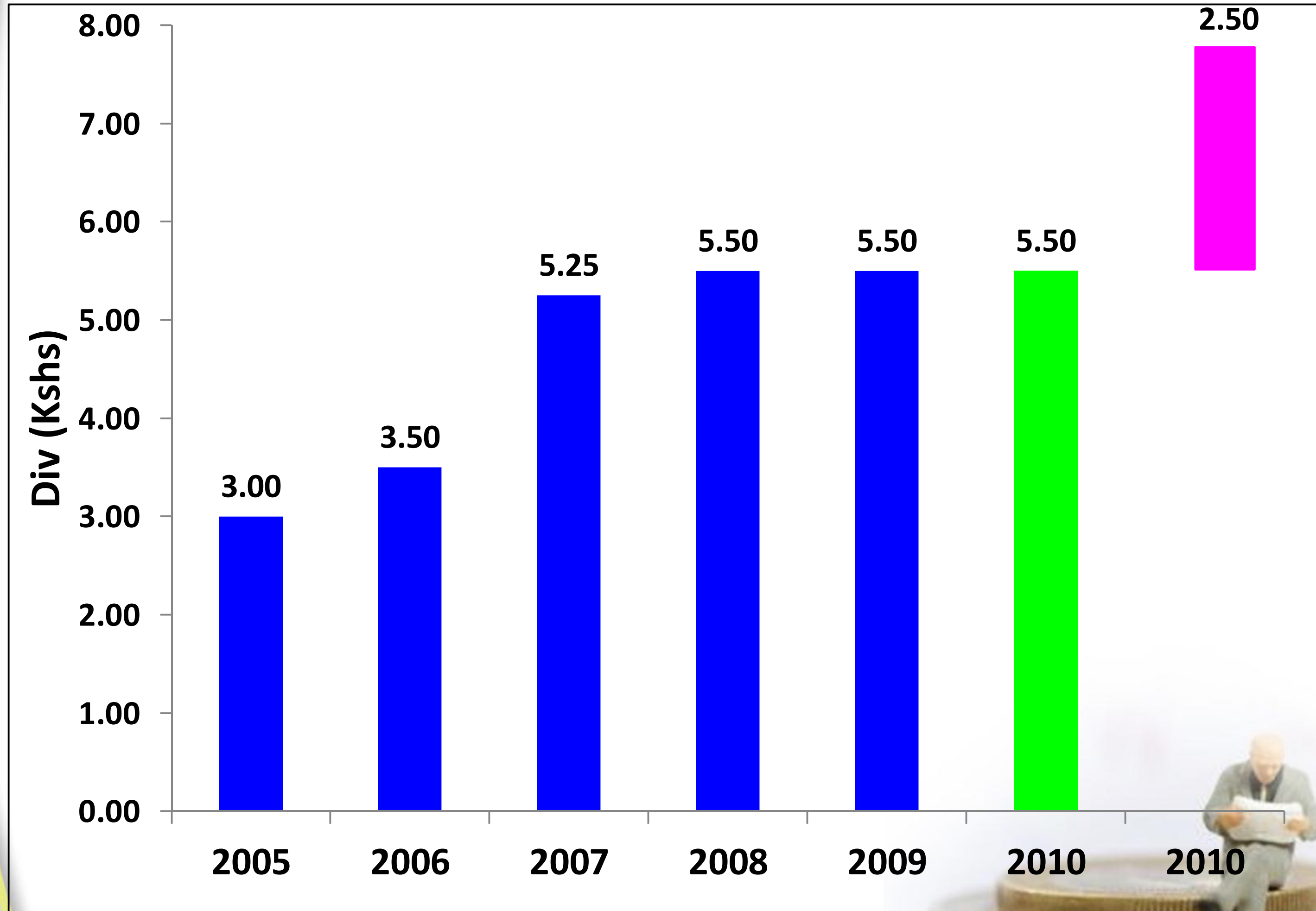
Sustained Turnover Growth



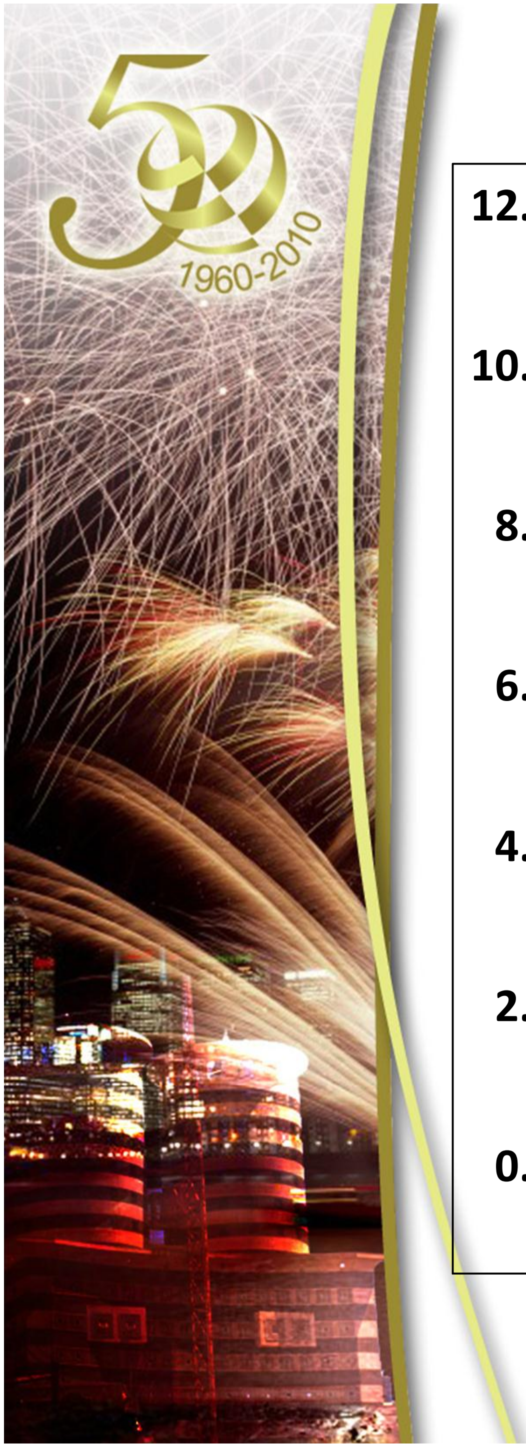
Profit Before Tax (Kshs M)



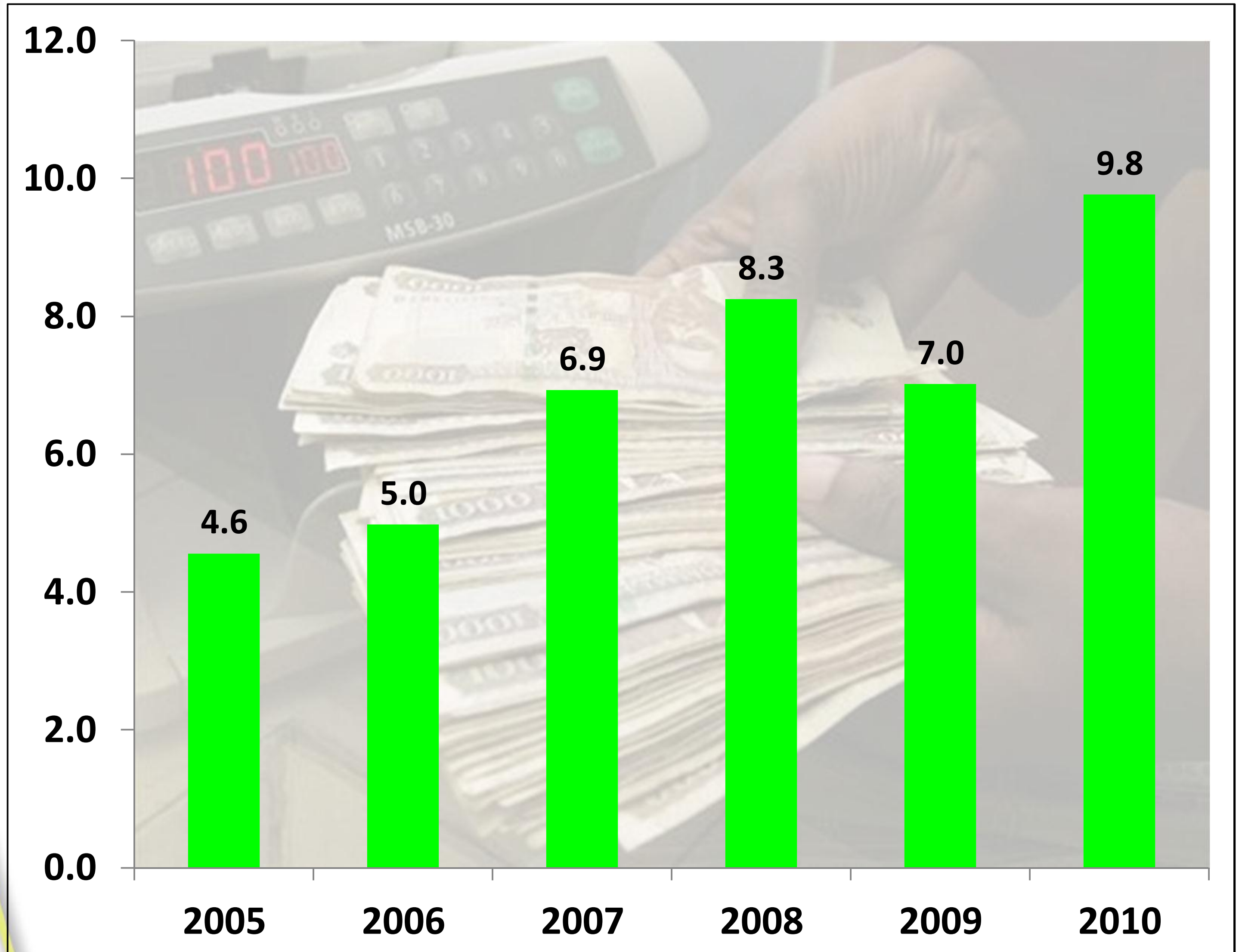
Dividend Trend (Kshs/share)



- Dividend held at 2009 level (Kshs 5.50 per share)
- <u>Special dividend</u> of Kshs 2.50 per share
- Total Dividend Kshs 8.00 per share

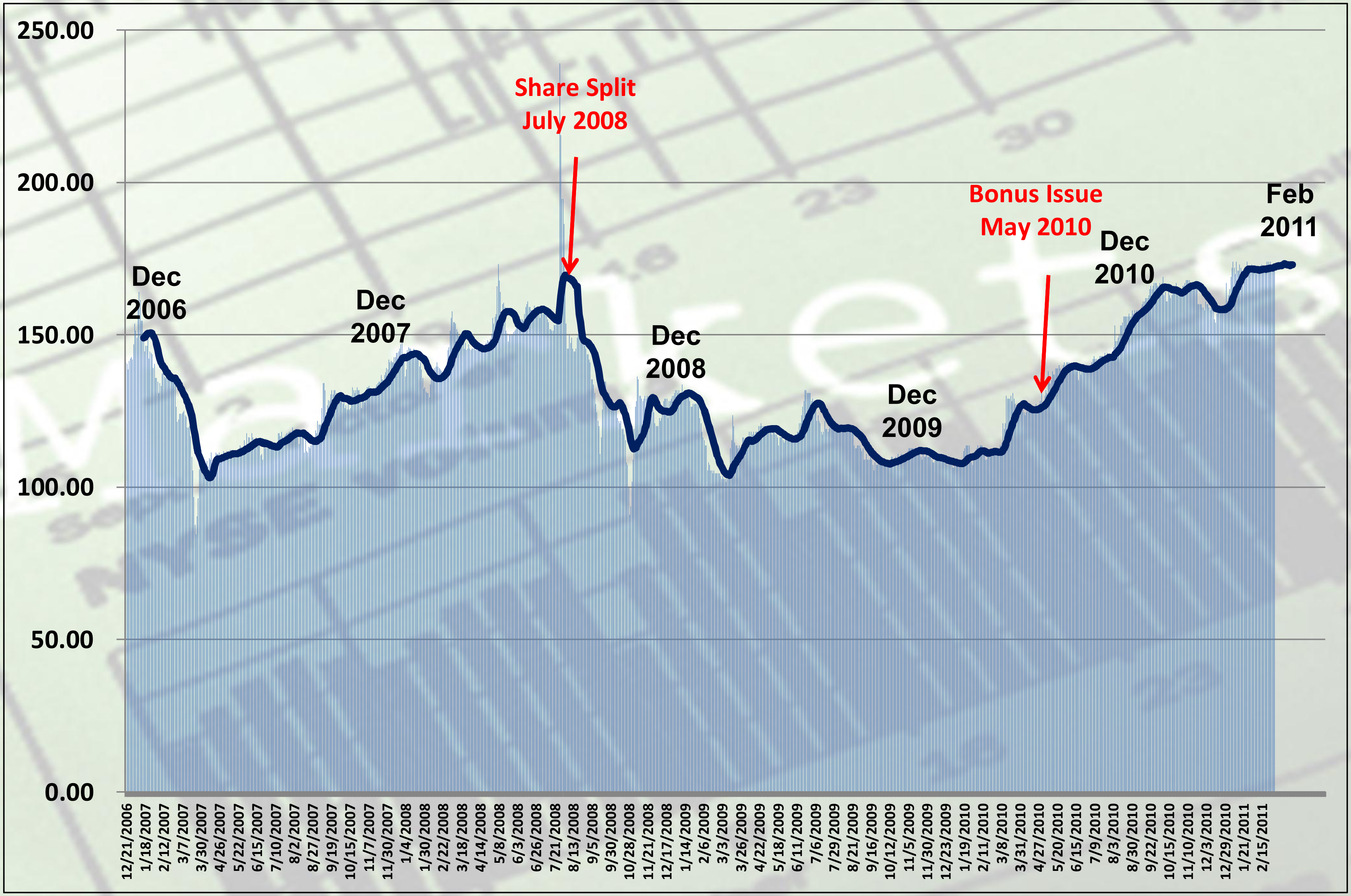


Earnings Per Share (Kshs)



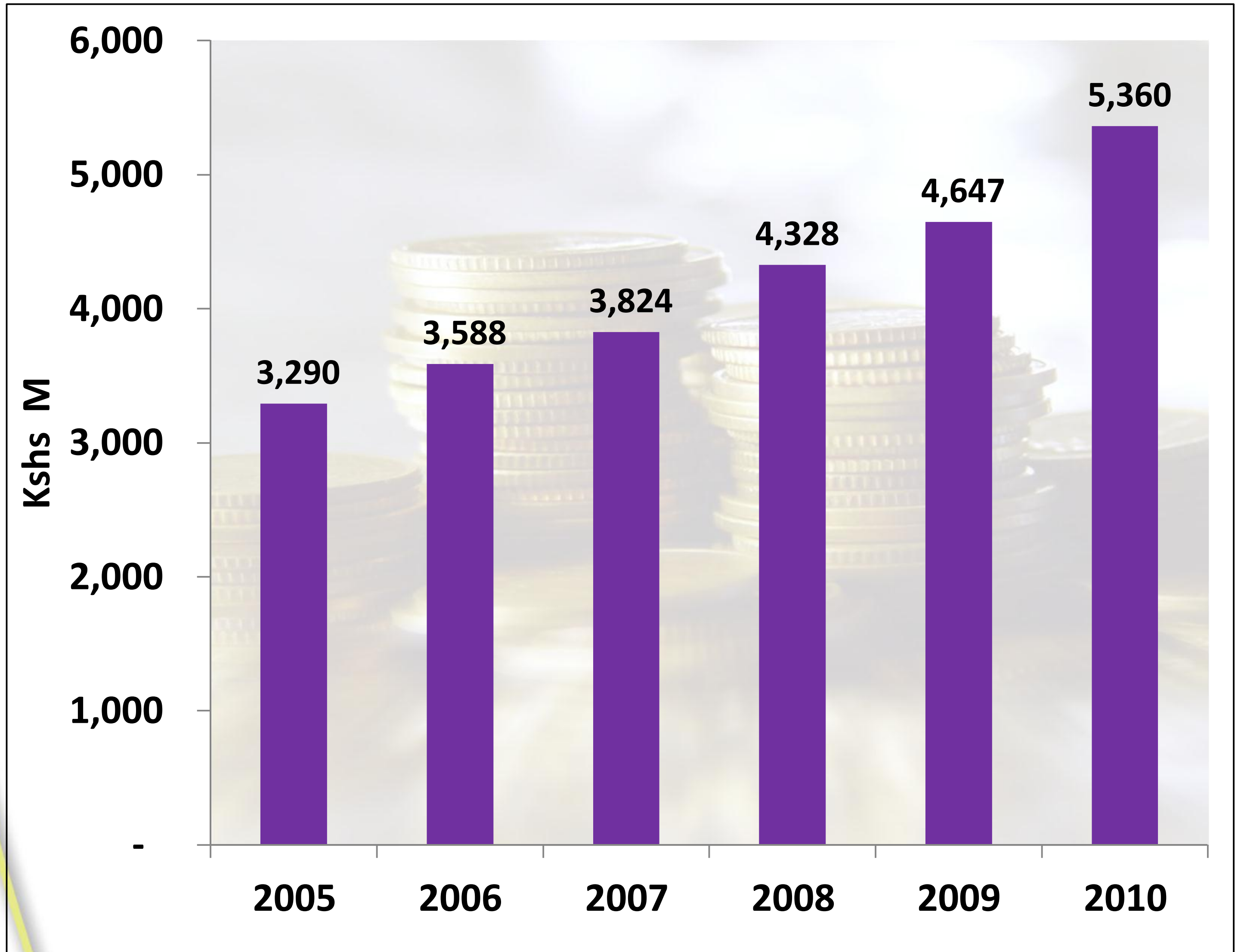
ÅEPS growth 39% in 2010

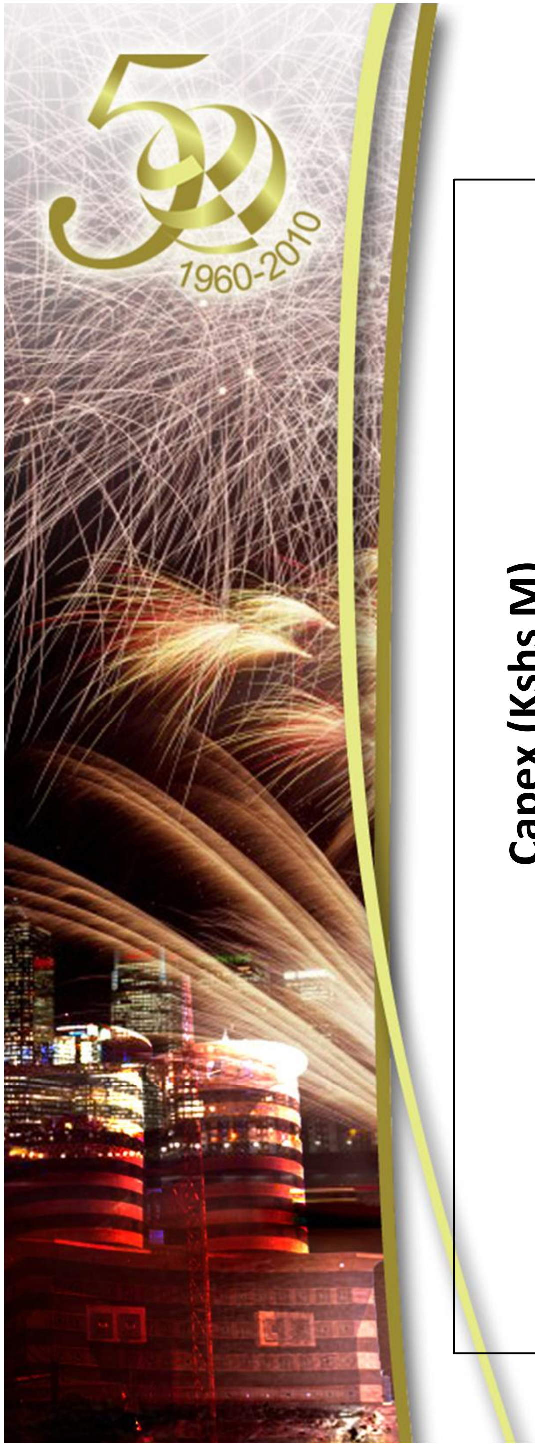
NMG Share Price



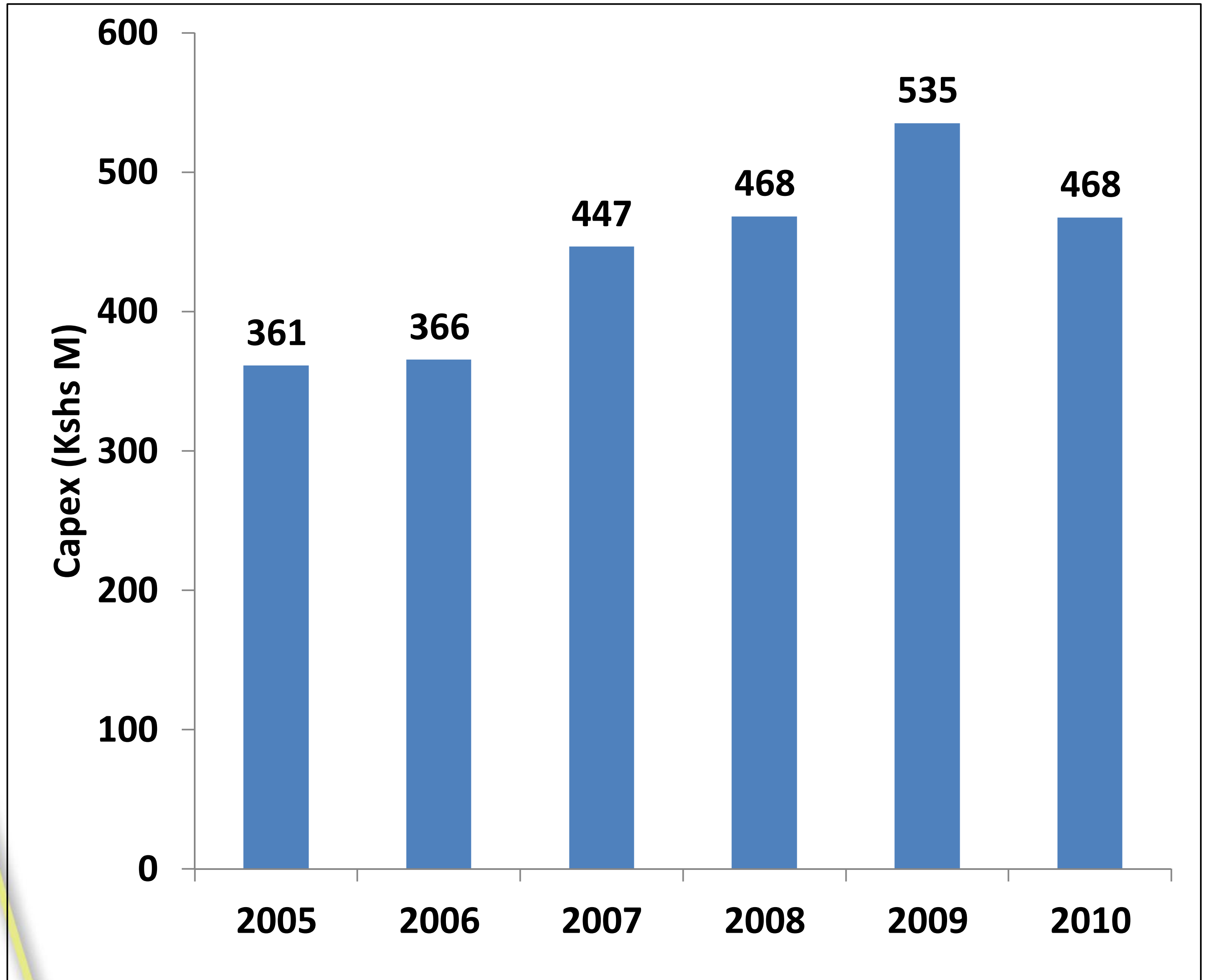
NB: Adjusted for stock split & bonus issue

Shareholders Funds (Kshs M)

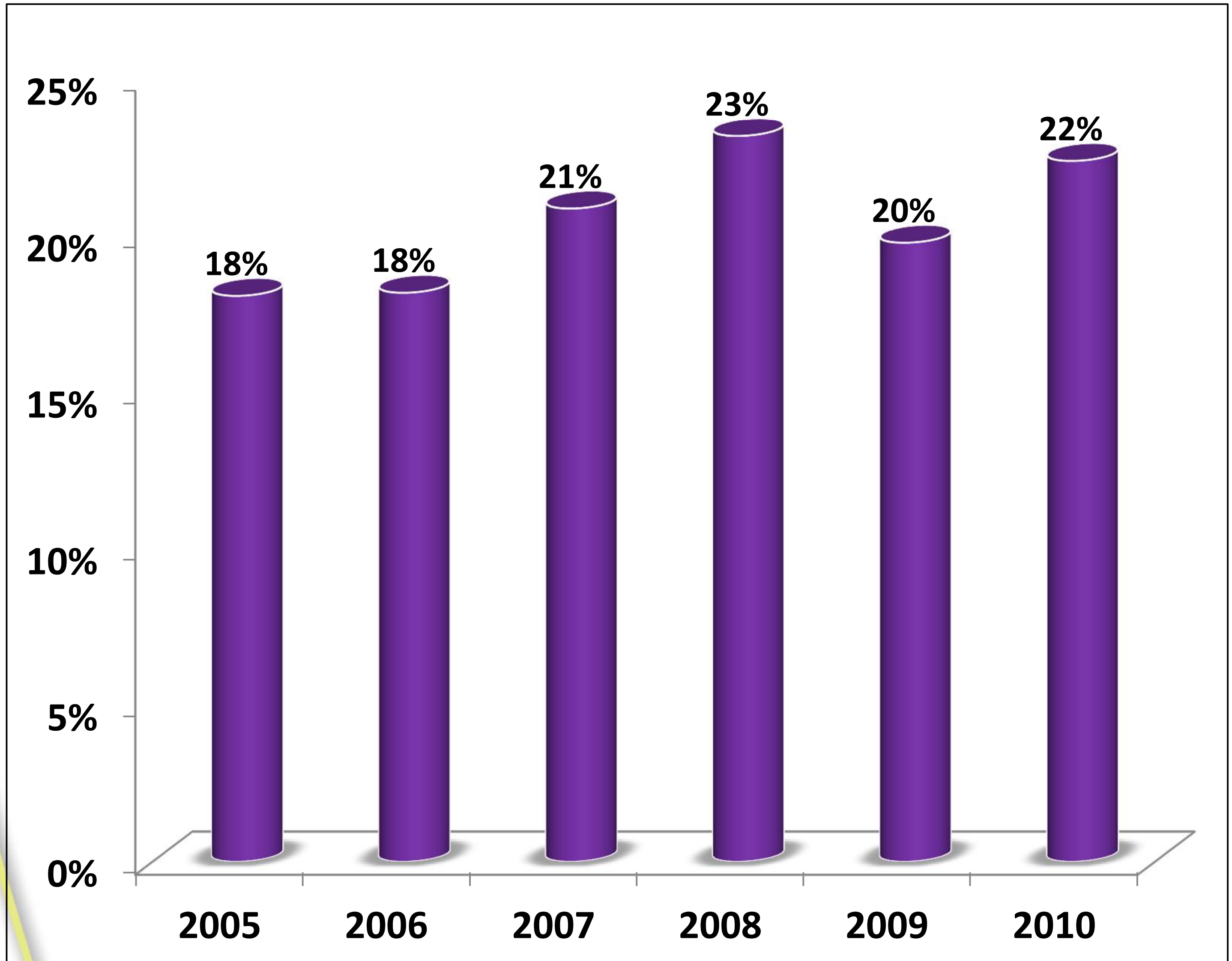




Capital Expenditure



Operating Profit Margin Trend



Statement of Financial Position (Kshs M)

	2009 Kshs M	2010 Kshs M
Capital and Reserves		
Share capital	357	393
Retained earnings	3,637	3,916
Proposed dividends	570	1,021
Minority interest	67	62
Total equity	4,714	5,422
Total Equity & Non-current liabilities	4,803	5,422
Assets		
Non-current assets	2,807	2,898
Working capital		
Current assets	3,766	5,077
Current liabilities	1,769	2,553
Net working capital	1,996	2,524
Total Assets	4,803	5,422

12% growth in 2010

Condensed Cash Flow Statement (Kshs M)

	2009 Kshs M	2010 Kshs M
Cash generated from operations	2,088	2,904
Interest received	77	87
Interest paid	(50)	(2)
Tax paid	(594)	(540)
Net cash from operating activities	1,519	2,449
Net cash used in investing activities	(510)	(451)
Net cash used in financing activities	(843)	(869)
Increase in cash and cash equivalents	166	1,129
At start of period	1,306	1,474
Translation of net investment in foreign subsidiaries	0.9	0.4
At end of period	1,474	2,603

76% growth in 2010


2011 Outlook

2011 Outlook

Å Economic risk: low economic growth; drought; escalating fuel costs; Kshs depreciation

Å New press in Uganda: April 2011 launch

Å Grow market presence

Å Focus on innovation

Å Cautiously optimistic

Thank You

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